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24/7 Markets: Nasdaq and NYSE, Part 2

® **Abstract:** Part 1 introduced QFEX as the first centralized 24/7 perpetual futures exchange on traditional assets outside the regulated perimeter. Part 2 turns to incumbents. Nasdaq 23/5 and NYSE Arca 22/5, pending approval, will bring continuous trading to exchanges that already dominate U.S. equity volume. For quants inside regulated institutions, these are the venues that matter.

Part 1 established that continuous trading is no longer a crypto-native idea. QFEX demonstrated the architecture: perpetual futures, funding in place of dated contracts, 24/7 access without brokers or clearing members. The open question was whether the same shift would occur inside the regulated U.S. equity market structure. As of 23 April 2026, the answer is yes — but the regulated path is a structurally different product from what QFEX offers, and understanding the difference is what Part 2 is about.

Nasdaq's 23/5 proposal splits the week into a Day Session and a Night Session separated by a one-hour maintenance pause, covering Nasdaq-listed NMS stocks and exchange-traded products. NYSE Arca was approved on 11 February 2025 for a 22/5 session — the first established U.S. equity exchange cleared for extended hours — and runs with a two-hour overnight maintenance window. Both are listed-cash-equity products: spot, unlevered, regulated, SEC-registered, and routed through broker-dealers. Neither offers derivatives, and neither attempts what QFEX attempts.

The binding constraint for both is clearing, not trading. An exchange can only match trades as late as its CCP can settle them. NSCC has targeted 28 June 2026 for 24/5 clearing, and Cboe EDGX has filed its own proposal. Four national exchanges are now converging on the same infrastructure upgrade, which means the launch of regulated overnight equity trading is not a competitive race between venues — it is a single dependency on a single CCP window.

There are several main takeaways. First, liquidity fragmentation across the extended day. Nasdaq Night Session quotes will launch with reduced order-type support and the SIP-consolidation question unresolved — meaning the reference price consumed by the models after 9:00 PM ET may be venue-specific rather than a consolidated NBBO. Overnight execution quality becomes a venue-routing problem, not a price-taking one. Second, the maintenance-pause discontinuity. Nasdaq pauses for an hour between sessions; QFEX does not. For any name listed on both, the 8:00–9:00 PM window creates a new, structural, and recurring basis-trade opportunity.

This reframes the Part 1 question. QFEX is not competing with Nasdaq 23/5 for the same flow. QFEX offers leveraged perpetual exposure with offshore credit risk to non-U.S. retail and crypto-native capital. Nasdaq 23/5 offers unlevered spot equity with NSCC clearing and SIP quoting to U.S. broker-dealer flow that legally cannot trade QFEX. The real competition for QFEX is not Nasdaq — it is whether a U.S.-regulated perpetual product (the CFTC has a request for comment outstanding) materializes before QFEX cements its niche.

Part 3 asks what all of this means quantitatively: how gap variance redistributes across the extended day, how basis arbitrage works when the regulated and perpetual clocks are offset by one hour, and what happens to existing overnight-reversion and vol-term-structure models when "overnight" becomes a shorter and shallower window.

Chart 1

Feature	NYSE 22/5	Nasdaq 23/5
SEC approval*	11 Feb 2025	10 Apr 2026
Daily hours	22hrs	23hrs
Session start*	1:30 AM ET	9:00 PM ET
Session end*	11:30 AM ET	8:00 PM ET
Launch date*	Late 2026	6 Dec 2026
Assets	All U.S. NMS	Nasdaq NMS
Clearing	DTCC/NSCC	DTCC/NSCC
Auctions	Core only	Open & Close cross
Access	Broker-dealer	Nasdaq member

* Pending final regulatory approval, dates and times subject to change
Source: Federal Register, SEC Release Nos. 34-102400, 34-105199; Nasdaq Q1 2026 Earnings Release; Reuters; Arnold & Porter

Chart 2

Milestone	Date
NSCC Phase 1 (1:30 AM UTC)	Sep 2024
Cboe EDGX 24/5 filed	16 Mar 2026
NSCC 24/5 target	28 Jun 2026
SIP extension target	H2 2026

Source: DTCC; Nasdaq Q1 2026 Earnings Release, 23 Apr 2026; Cboe IR

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